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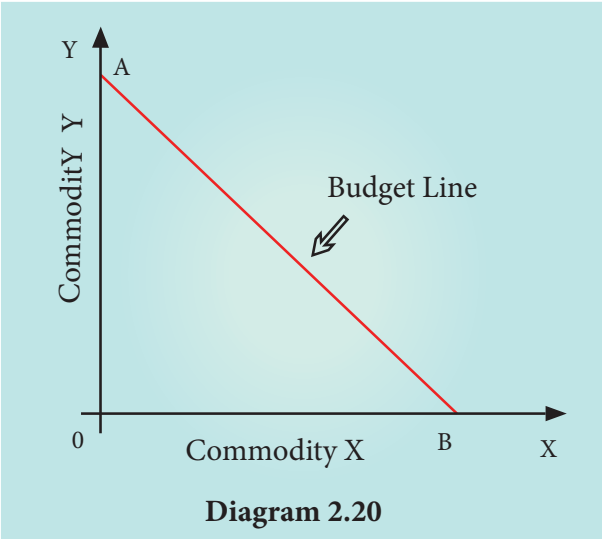


Diagram 2.20

line is a downward sloping straight line connecting X axis and Y axis as follows.

OA – income, OA/OB price of X good. The budget line is the line joining various combinations of the two goods which the consumer can buy at given prices and income.

2.16 Consumer Equilibrium

The consumer reaches equilibrium at the point where the budget line is tangent on the indifference curve.

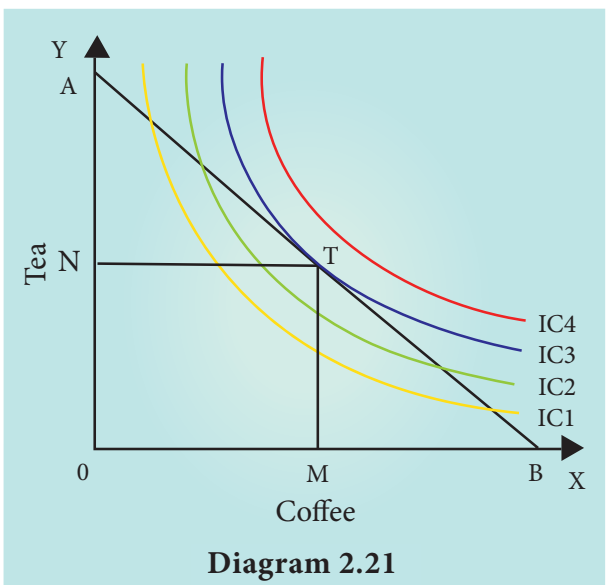


Diagram 2.21

T is the point of equilibrium as budget line AB is tangent on indifference curve IC_3 the upper IC which implies maximum possible level of satisfaction.

At equilibrium point, the slope of IC refers to MRS_{XY} and the slope of BL (Budget Line) refers to ratio of price of X to price of Y ie P_x/P_y . Therefore $MRS_{x,y} = P_x/P_y$.

2.17 Conclusion

An understanding of consumer behaviour is an important part of comprehending the allocation of resources by individuals. Consumption decisions are made based upon a logical process of valuing utility, price and income alternatives. Demand analysis enables the producers to understand consumer behaviour and take proper decisions accordingly.

GLOSSARY

Consumption:	The use of goods and services for satisfying one's wants.
Demand:	Demand is desire backed by sufficient purchasing power and willingness to spend on it.
Needs:	It is defined as goods or services that are required. This would include the needs for food, clothing, shelter and health care.